

PRODUCT EXPERIMENT DECISION MEMO

SaaS Onboarding Flow Redesign — Experiment ID: OB-2026-003

Date: April 14, 2026

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Status: SHIP ■

+5.7%

Absolute Lift

+17.7%

Relative Lift

$p < 0.001$

P-Value

99.8%

Statistical Power

\$3.3M

Annual Rev. Lift

DECISION:
SHIP

The new onboarding flow demonstrates statistically significant improvement across all key metrics. Full rollout to 100% of new users is recommended effective immediately.

1. Experiment Setup

Hypothesis	Redesigned onboarding flow with progress indicators and contextual tooltips increases 30-day user activation rate vs. the original flow.
Primary Metric	30-day activation rate (user completes core product action within 30 days of signup)
Randomization	User-level random assignment at signup. No overlap possible.
Duration	28 days (Jan 6 – Feb 3, 2026)
Sample Size	Control: 2,847 users Treatment: 2,891 users Total: 5,738 users
Minimum Detectable Effect	2.0 percentage points at 80% power, $\alpha = 0.05$ (pre-registered)

2. Statistical Results

Metric	Control	Treatment	Difference	Verdict
Activation Rate (30d)	32.1%	37.8%	+5.7 pp	■ Significant
Users Activated	914 / 2,847	1,092 / 2,891	+178 more	—
Z-Statistic	—	—	4.50	■ > 1.96
P-Value (two-tailed)	—	—	< 0.001	■ < 0.05
95% Confidence Interval	—	—	[+3.2%, +8.1%]	■ Excludes 0
Cohen's h (Effect Size)	—	—	0.119	Small — practical

Statistical Power	—	—	99.8%	■ > 80%
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The experiment is statistically well-powered (99.8%) and results are significant at both $\alpha=0.05$ and $\alpha=0.01$. The 95% confidence interval [+3.2%, +8.1%] excludes zero entirely, confirming the lift is not attributable to chance. Cohen's h of 0.119 classifies the effect as small-to-negligible in academic terms, but the absolute lift of 5.7 percentage points is meaningfully large in a SaaS activation context where baseline rates of 30-35% are typical.

3. Business Impact

At 12,000 monthly signups, the 5.7 percentage point lift translates to approximately **680 additional activated users per month**. Assuming an average annual contract value of \$4,800, full rollout is projected to generate **\$3.26M in incremental annual revenue** with a cumulative 12-month impact of **\$39.2M**. These projections assume stable signup volume and no cannibalization effects.

Assumption	Value	Source
Monthly new signups	12,000	Product analytics (Q1 2026 avg)
Activation lift	+5.7 pp	This experiment
Additional activations/month	~680 users	$12,000 \times 5.7\%$
Avg annual contract value	\$4,800	Finance team benchmark
Projected annual revenue lift	\$3,265,015	$680 \times \$4,800$
Cumulative 12-month impact	\$39,180,180	Month 1–12 sum

4. Recommendation & Next Steps

Ship to 100% of new users immediately

All three decision criteria are met: statistical significance ($p < 0.001$), practical significance (5.7pp lift, \$3.3M ARR impact), and adequate power (99.8%). No additional data collection is needed.

Monitor 30-day activation rate post-launch for 2 weeks

Confirm that production rollout matches experimental results. Flag if activation rate drops below 35% within the first 14 days — this may indicate a novelty effect or implementation difference.

Do not run a follow-up experiment on this specific change

The experiment is conclusive. Running additional experiments on the same feature risks novelty bias and wastes experiment capacity. Prioritize new hypotheses.

Archive experiment data and document learnings

Store the full user-level dataset, analysis notebook, and this memo in the experiment registry. Key insight: progress indicators and contextual tooltips meaningfully reduce early-stage friction.

Analysis by Harshita Loganathan | Method: Two-proportion z-test, 95% CI, Cohen's h effect size | Dataset: 5,738 users over 28-day experiment window | Code & data: github.com/Hloganathan08 | Projections assume stable monthly signup volume and no seasonal effects.